TRANSACTION INFORMATION

DEAL MANAGER: House
LESSEE: New England Authentic Eats, LLC
OBLIGOR: New England Authentic Eats, LLC
CORP GUARANTOR: N/A
PERSONAL GUARANTOR: N/A
CORP REPORTING TENANT: New England Authentic Eats, LLC
SEGMENT/NAICS NAME: Restaurants – Quick Service

UNDERWRITER: Mike Ivancic/Matt Nemeth
CONFORMING INVESTMENT: Y
SLB/EXISTING LEASE: Existing Lease
INVESTMENT TYPE: FEE
MASTER LEASE: Y
NAICS: 722513
TENANT INDUSTRY: Service

PURCHASE PRICE: $12,015,108
TRANSACTION COST: $ 115,800
APPROVED AMOUNT: $12,130,908

CAP RATE: 7.40%
INITIAL RENT: $889,118
ESCALATIONS: 1.00% Annual
PURCHASE OPTION: N
EARLY TERMINATION: N
ALL OR NONE PURCHASE: Y

LEASE TYPE: NNN
TERM: 11.3 Years (3/31/2031 Expiration)
OPTIONS: Four (4), five (5) year options
ROFO/R: N
DEPOSIT: $500,000

FINANCIAL REPORTING: Y
CORP FREQUENCY: Quarterly
CORP STATEMENTS: All

UNIT FREQUENCY: Quarterly
UNIT STATEMENTS: P&L

EXISTING EXPOSURE: N/A

PROPERTIES REQUESTED: 9

UNIT EBITDAR COVERAGE: 1.96x
CORPORATE FCC: 0.60x
LEASE ADJUSTED LEVERAGE: 13.04x
FUNDED DEBT/EBITDA: N/A

PF UNIT EBITDAR COVERAGE: 2.20x
PF CORP. FCC: 1.26x
PF LEASE ADJ. LEVERAGE: 6.65x
PF FUNDED DEBT/EBITDA: 2.63x

MOODYS KMV:

Period	Shadow Rating 1-YR-EDF	S&P	Moody's
2020 PF	0.88	BB+	Ba1

ACTUAL CREDIT RATING: N/A

TRANSACTION CHARACTERISTICS: Essential Properties Realty Trust ("EPRT") will acquire nine (9) Papa Gino's pizzerias in Massachusetts via an existing lease transaction with New England Authentic Eats, LLC as the tenant. Of note, the existing lease has a percentage-of-sales stipulation which requires the tenant to pay 4% of sales above a stated threshold.

TAX ACCOUNTING ISSUES: N/A

TRANSACTION COSTS: Buyer and Seller shall bear all of its own legal costs. Buyer shall pay for Title Policy and third-party reports to include Phase I, ALTA Survey and Zoning. Seller shall pay for Transfer Taxes.

Legal	Phase I	Survey	Zoning	Title Policy	Loan Policy	Transfer Taxes	Total:
$30,000	$16,000	$50,000	$1,800	$18,000	N/A	N/A	$115,800

Pete Mavoides _____ **Date:** 12/11/19

Gregg Seibert _____ **Date:** 12/11/19

Deal Overview:

Essential Properties Realty Trust ("EPRT") is seeking to acquire nine (9) Papa Gino's quick-service restaurants in Massachusetts with the following details:

SLB/Existing Lease:	Existing Lease
Lease Type:	NNN
Purchase Price:	$12,015,108
Average Purchase Price:	$1,335,012
Cap Rate:	7.40%
Initial Rent:	$889,118
Average Rent:	$98,791
Existing Lease Term:	11.3 Years (3/31/2031 Expiration)
% Rent:	4% of Gross Sales > $11.5 million for full-year ending 3/31/2020 • Percentage rent threshold subject to 1.00% annual escalations • Paid by May 15th for April – March lease year.
Total Building SF:	28,448 SF
Price PSF:	$422.35
Rent PSF:	$31.25
Renewal Options:	Four (4), five (5) year options
Rental Escalations:	1.00% Annual
Tenant:	New England Authentic Eats, LLC

Concept Overview:

Papa Gino's Pizzeria ("Papa Gino's") is a restaurant chain based in Dedham, MA, specializing in American-style pizza along with pasta, subs, salads, and a variety of appetizers. Founded in 1961, Papa Gino's is a proud New England staple with a heritage of serving high quality, handmade pizzas with fresh ingredients and an 80-year old Italian family recipe. From a single restaurant in East Boston, Papa Gino's has expanded over the years and currently has 89 restaurants in Massachusetts, Rhode Island, New Hampshire, and Connecticut. Papa Gino's is the official pizza of the New England Patriots of the NFL and the New England Revolution of the MLS.

Company Overview:

New England Authentic Eats, LLC (the "Company") was formed in February 2019 by Wynnchurch Capital Partners to acquire substantially all of the assets of PGHC Holdings, Inc., the former parent company of Papa Gino's and D'Angelo's Grilled Sandwiches. The transaction occurred as part of a Section 363 Sale, as PGHC filed for Chapter 11 Bankruptcy in November 2018. As of November 2019, the Company owned and operated 89 Papa Gino's restaurants and 42 D'Angelo's restaurants for a total of 131 units. Additionally, the Company franchises 40 D'Angelo's restaurants (Papa Gino's has no franchises). On a revenue basis, Papa Gino's accounts for approximately 75% of all Company revenue.

Bankruptcy Overview

On November 5th, PGHC Holdings, Inc, and affiliates ("PGHC") filed for Chapter 11 bankruptcy protection. According to public disclosures submitted by PGHC's CFO, Corey Wendland, PHGC experienced a number of factors that negatively impacted financial performance which lead to the Chapter 11 filing, including consumer preferences shifting away from in-restaurant dining to delivery and carryout, minimum wage increases across many of the markets the company serves,

and increased competition and associated price pressure from national chains that have increased their footprint in the New England markets.

Sale of PGHC's Assets

On 1/28/2019, the sale of substantially all of PGHC's assets free and clear of all liens was approved for $20 million to Wynnchurch Capital ("Wynnchurch"). Wynnchurch acquired all of PGHC's secured debt in early July 2018. When PGHC subsequently filed for bankruptcy protection in November 2018, Wynnchurch agreed to provide PGHC with debtor-in-possession financing up to $13.8 million and to serve as the stalking horse bidder in a Section 363 sale, setting the initial offer at $20 million, which was eventually accepted.

Sponsor Overview

Wynnchurch Capital is a private equity firm based in Chicago with more than $2 billion AUM. Wynnchurch targets include corporate carve-outs, underperforming businesses, growth situations, and family businesses in transition.

Management Team Overview:

William Van Epps, CEO: Mr. Van Epps assumed the role of President & CEO for New England Authentic Eats LLC at the inception of the Company. Mr. Van Epps served as COO of Papa Johns from 2004-2006 and as President and CMO from 2006-2009. Subsequently, Mr. Van Epps served as CEO of Agile Pursuits Franchising, a wholly-owned subsidiary of Proctor & Gamble from 2009-2011. He has since worked as an independent consultant while serving on numerous Boards, including, Johnny Rockets, Buffets, Inc., Arizona State University, Sizzling Platter, among others.

Corey Wendland, CFO: Mr. Wendland assumed the role of CFO for New England Authentic Eats LLC's predecessor, PGHC, in 2013 and was retained in the same position post-reorganization in February 2019. Prior to joining PGHC, Mr. Wendland was the CFO of VIP, Inc., an Automotive Aftermarket Retailer. Mr. Wendland was also a Senior Director of Finance for Boston Chicken in throughout the 1990s and a VP of Strategic Planning for Friendly's throughout the early 2000s.

Transaction Overview:

EPRT is seeking to acquire nine (9) Papa Gino's restaurants located at the addresses listed in Exhibit B. EPRT will acquire the real estate from a PropCo entity created as a joint venture between U.S. Realty Advisors, LLC, and Kimco Realty Corporation (collectively the "Sellers").

The master lease between the Sellers and the Company's predecessor was initially executed in 2001 and was set to expire in 2021. Recently, the Sellers and the Company extended the term of the master lease to 2031. The Sellers decided to sell the real estate as part of their decision to dissolve their joint venture.

Investment Highlights:

Discounted 9 Unit Master Lease w/ Northeast Footprint – Due to Papa Gino's Chapter 11 restructuring, EPRT will acquire the 9-unit master lease portfolio at a 7.40% cap rate, 179 bps higher than Northeast market comparable sales. Additionally, EPRT will acquire the subject portfolio at a price PSF and rent PSF discount to market of 42.6% and 8.1%, respectively.

Low Investment Basis in Fungible Real Estate Located in Regions with Strong Demographics – The subject portfolio will be purchased for approximately $1.3 million each with an average square footage of 3,161 square feet. The transaction will add nine fee simple, single-tenant properties located in densely populated Massachusetts communities to the EPRT portfolio. Given their locations, small footprints, and low rents, EPRT would be better positioned to lease out the subject portfolio with minimal loss should the concept not work.

Low Average Rent Per Site – The subject portfolio's average rent per site is $99 thousand, yielding a rent PSF of $31.25. A low rent burden lessens the probability of default and more easily allows the lease to be re-let should the Company continue to face difficulty.

Risks and Mitigants:

Risk: Poor Performing Concept with History of Bankruptcy – On November 5, 2018, PGHC Holdings, Inc. filed for Chapter 11 bankruptcy protection, closing approximately 100 stores between the company's two brands, Papa Gino's and D'Angelo's.

Mitigant: Company's Assets Acquired Free and Clear of All Liens – On 1/28/2019, the sale of substantially all of PGHC's assets free and clear of all liens was approved for $20 million to Wynnchurch Capital. Additionally, post reorganization, the Company lowered its debt to $10.4 million as of 9/30/2019, down from $87.5 million prior to filing for bankruptcy.

Mitigant: Strong Unit-Level Sales with Low Growth – The subject portfolio's sales grew from $10.0 million in 2018 to $10.4 million in 2019, a 3.6% Y-o-Y growth rate. The sites in the subject portfolio were selected by management to remain open post-bankruptcy since they have historically been strong performers. On average, the portfolio generates $1.2 million per site, approximately 20% higher than the systemwide Papa Gino's AUV of $1.0 million.

Risk: Declining Unit-Level Margins and Coverage – The subject portfolio's margin has dropped from 23.1% in 2016 to 16.8% in 2019, causing coverage to drop from 2.79x to 1.96x over the same period.

Mitigant: Increased Operating Expenditures to Protect Brand Value during Bankruptcy – In an effort to attract customers, improve the restaurant experience and maintain the Papa Gino's brand value through bankruptcy, the Company significantly increased unit-level repairs and maintenance expense. Corey Wendland, CFO asserts that these increased expenditures account for an overall two percent reduction in the current store-level operating margin. Moreover, corporate made a significant investment in a new advertising and marketing campaign to regenerate lost volume. All units are expected to benefit from this corporate-level marketing investment.

Mitigant: Low Average Rent Per Site – The subject portfolio's average rent per site is $99 thousand, yielding a rent PSF of $31.25. A low rent burden lessens the probability of default and more easily allows the lease to be re-let should the Company continue to face difficulty.

Mitigant: Long-term Existing Master Lease – As part of the transaction, EPRT will acquire an existing master lease with 11.3 years of lease term remaining.

Mitigant: Low Investment Basis & Fungible Real Estate in Populated Communities – The subject portfolio will be purchased for approximately $1.3 million each with an average square footage of 3,161 square feet. The transaction will add nine fee simple, single-tenant properties located in the Northeast in densely populated Massachusetts communities to the EPRT portfolio.

Risk: Negative Corporate-Level EBITDA – The Company generated EBITDA of -$3.8 million in 2019.

Mitigant: Newly Formed Company w/ Proactive Management – Both corporate and unit-level expenses were substantially higher than historical norms as the Company went through a restructuring period and invested in the brand and remaining sites left open post-bankruptcy as part of their brand protection strategy. This included increases in customer discounts, marketing expenses, repairs and maintenance expenses, among others. Going forward, the Company expects EBITDA to be positive, which is reflected in its 2020 proforma.

Mitigant: Low Debt in Capital Structure – The Company is not highly leveraged, with only $10.4 million of debt on its books as of 9/30/2019, down from $87.5 million prior to filing for bankruptcy. Based on the Company's proforma 2020 EBITDA margin of 3.0%, the Company will have a funded debt/EBITDA multiple of 2.63x.

Unit Economics: Below is a summary of the subject portfolio's performance.

Subject Portfolio ('000s)																
		Revenue							EBITDAR					Proforma		
Address	City	FYE 2016[1]	FYE 2017[1]	FYE 2018[1]	P9 Ann 2018	P9 Ann 2019	Y-o-Y[2]	CAGR[3]	FYE 2016[1]	FYE 2017[1]	FYE 2018[1]	P9 Ann 2018	P9 Ann 2019	P9 Ann 2019	Y-o-Y[2]	CAGR[3]
35 Commercial Road	Leominster	$ 997	$ 962	$ 988	$ 940	$ 972	3.5%	-0.5%	$ 238	$ 203	$ 187	$ 159	$ 171	$ 190	7.5%	-6.4%
915 Grafton Street	Worcester	1,391	1,391	1,418	1,375	1,420	3.3%	0.4%	308	325	324	292	255	284	-12.5%	-3.7%
681 W. Boylston	Worcester	1,260	1,184	1,174	1,121	1,201	7.1%	-1.0%	240	238	222	169	199	223	17.9%	-3.7%
307 Elsbree Street	Fall River	1,339	1,366	1,453	1,378	1,333	-3.3%	-0.1%	340	323	336	306	238	264	-22.4%	-6.9%
340 Mariano Bishop Blvd.	Fall River	1,417	1,325	1,244	1,188	1,184	-0.3%	-3.5%	356	305	230	213	160	183	-24.9%	-14.8%
104 Boston Post Road	Sudbury	838	792	786	796	883	10.9%	1.0%	155	129	137	137	146	164	6.7%	-1.1%
319 Washington Street	Stoughton	903	935	1,004	975	1,170	20.0%	5.3%	178	205	202	164	225	249	37.3%	4.8%
748 Gallivan Blvd.	Dorchester	1,278	1,136	1,081	1,040	1,066	2.4%	-3.6%	327	221	180	162	147	169	-9.0%	-14.7%
15 Taunton Street	Plainville	1,310	1,300	1,297	1,205	1,149	-4.6%	-2.6%	334	344	304	255	205	228	-19.7%	-9.3%
	Total	**$ 10,734**	**$ 10,390**	**$ 10,446**	**$ 10,016**	**$ 10,377**			**$ 2,476**	**$ 2,292**	**$ 2,122**	**$ 1,857**	**$ 1,747**	**$ 1,954**		
	Average	***1,193***	***1,154***	***1,161***	***1,113***	***1,153***	***3.6%***	***-0.7%***	***275***	***255***	***236***	***206***	***194***	***217***	***-5.9%***	***-6.7%***

Subject Portfolio ('000s)														
		Coverage					Proforma	Margin					Proforma	
Address	City	FYE 2016[1]	FYE 2017[1]	FYE 2018[1]	P9 Ann 2018	P9 Ann 2019	P9 Ann 2019	FYE 2016[1]	FYE 2017[1]	FYE 2018[1]	P9 Ann 2018	P9 Ann 2019	P9 Ann 2019	RTS
35 Commercial Road	Leominster	2.28x	1.94x	1.79x	1.52x	1.64x	1.82x	23.9%	21.1%	18.9%	16.9%	17.6%	19.6%	10.7%
915 Grafton Street	Worcester	3.72x	3.93x	3.91x	3.52x	3.08x	3.42x	22.2%	23.4%	22.8%	21.2%	18.0%	20.0%	5.8%
681 W. Boylston	Worcester	2.56x	2.55x	2.37x	1.80x	2.12x	2.38x	19.0%	20.1%	18.9%	15.0%	16.5%	18.5%	7.8%
307 Elsbree Street	Fall River	3.29x	3.12x	3.25x	2.95x	2.29x	2.55x	25.4%	23.7%	23.2%	22.2%	17.8%	19.8%	7.8%
340 Mariano Bishop Blvd.	Fall River	3.38x	2.89x	2.18x	2.02x	1.52x	1.74x	25.1%	23.0%	18.5%	17.9%	13.5%	15.5%	8.9%
104 Boston Post Road	Sudbury	1.71x	1.42x	1.51x	1.52x	1.62x	1.81x	18.5%	16.2%	17.4%	17.2%	16.6%	18.6%	10.3%
319 Washington Street	Stoughton	1.77x	2.04x	2.01x	1.63x	2.24x	2.48x	19.7%	21.9%	20.1%	16.8%	19.3%	21.3%	8.6%
748 Gallivan Blvd.	Dorchester	3.20x	2.16x	1.76x	1.58x	1.44x	1.65x	25.6%	19.4%	16.6%	15.6%	13.8%	15.8%	9.6%
15 Taunton Street	Plainville	3.15x	3.24x	2.87x	2.41x	1.94x	2.15x	25.5%	26.4%	23.4%	21.2%	17.8%	19.8%	9.2%
	Total													
	Average	***2.79x***	***2.58x***	***2.39x***	***2.09x***	***1.96x***	***2.20x***	***23.1%***	***22.1%***	***20.3%***	***18.5%***	***16.8%***	***18.8%***	***8.6%***

Rent PSF	**$ 31.25**
Price PSF	**$ 422.35**
Sales PSF	**$ 364.75**
RTS %	**8.57%**
Ave. EBITDAR margin	**16.83%**

(1): Operated with 2.28.20XX FYE prior to restructuring. After restructuring, converted to 12.31.20XX FYE.
(2): Represents growth from P9 annualized 2018 through P9 annualized 2019.
(3): Represents compound annual growth from FYE 2016 through P9 annualized 2019.

Per P9 annualized 2019 figures, the subject portfolio generated $10.4 million in revenue and $1.7 million in EBITDAR, leading to 1.96x coverage and a 16.8% EBITDAR margin. Total revenue has increased by 3.6% from the portfolio's P9 annualized 2018 total revenue of $10.0 million. Contrastingly, total EBITDAR has declined 5.9% from the portfolio's P9 annualized 2018 total EBITDAR of $1.9 million. Operating margin has decreased 9.2% since filing for Chapter 11 bankruptcy protection. It should be noted the subject portfolio has a low rent burden, with an average rent per location of $99 thousand.

Post-Bankruptcy Unit Analysis

Since the restructuring, New England Authentic Eats has been focused on modernizing Papa Gino's locations with updated plumbing, HVAC and refrigeration systems. Moreover, Wynnchurch Capital and the Company's new management team invested in significant advertising at the corporate level to improve public perception of the Company since its bankruptcy. The Company launched Papa Gino's first major marketing campaign in five years, in hopes to win back volume from local communities by advertising promotional discounts. Hence, increases in restaurant sales across the subject portfolio are mainly attributable to increased promotional discounts and corporate advertising.

A majority of the units in the subject portfolio incurred declines in operating margin from P9 annualized 2018 through P9 annualized 2019 due to increased payroll, paper and food costs. Moreover, understating the new corporate initiative mentioned above, a majority of units in the subject portfolio increased its repairs and maintenance expense to have a better customer-facing presentation in their stores. Additionally, all units are expected to benefit from the rejuvenated, corporate marketing campaign.

Corey Wendland, CFO asserts that these increased expenditures account for an overall two percent reduction in operating margin at the store level. Thus, performance is expected to stabilize at an 18.8% margin. At a stabilized margin of 18.8%, the subject portfolio can maintain a proforma rent coverage of 2.20x. Refer to the breakout in Exhibit C for analysis of recent operating performance at each location in the subject portfolio.

As noted in the transaction overview section, the master lease was restructured to include the current subject portfolio. Six additional sites were removed (and subsequently closed) from the master lease prior to the restructuring amendment of the lease on 3/13/2019. The subject portfolio was preserved by Papa Ginos as these sites are strong performers. US Realty Advisors disclosed that two of the

site closures previously included on the subject portfolio's lease (Natick and Framingham) are currently being renovated into cannabis dispensaries. Another two closures (Seabrook and Melrose) have been purchased by local restaurant chains. The last two were purchased by developers. The average price for the cannabis dispensaries was $1.5 million while the other four sold for approximately $1.1 million with the average price coming out to $1.3 million for all six.

Industry Analysis

Per the *Fast Food Restaurants in the US IBISWorld Industry Report* published in July 2019, the industry average EBITDAR margin is 17.7%. This is a slightly more conservative operating margin than the Papa Gino's unit-level proforma margin of 18.8%. The subject unit's rent coverage at the industry average margin is 2.07x. Refer to the sensitivity analysis below.

Rent Coverage Sensitivity Analysis

Refer to the sensitivity analysis below, centered at the P9 annualized 2019 EBITDAR margin of 16.8%. At the current margin, the subject portfolio's total revenue can fall 23%, and the master lease will maintain rent coverage of 1.60x. At the projected stabilized margin of 18.8%, total revenue can fall 9%, and the master lease will maintain rent coverage of 2.02x.

Rent Coverage Sensitivity ('000s)														
		EBITDAR Margin												
Ann. Revenue	%	10.8%	11.8%	12.8%	13.8%	14.8%	15.8%	16.8%	17.8%	18.8%	19.8%	20.8%	21.8%	22.8%
$ 10,377	-	1.26x	1.38x	1.49x	1.61x	1.73x	1.84x	1.96x	2.08x	2.19x	2.31x	2.43x	2.54x	2.66x
9,961	(4)%	1.21x	1.32x	1.43x	1.55x	1.66x	1.77x	1.88x	1.99x	2.11x	2.22x	2.33x	2.44x	2.55x
9,563	(9)%	1.16x	1.27x	1.38x	1.48x	1.59x	1.70x	1.81x	1.91x	2.02x	2.13x	2.24x	2.34x	2.45x
9,180	(13)%	1.12x	1.22x	1.32x	1.42x	1.53x	1.63x	1.73x	1.84x	1.94x	2.04x	2.15x	2.25x	2.35x
8,813	(18)%	1.07x	1.17x	1.27x	1.37x	1.47x	1.57x	1.67x	1.76x	1.86x	1.96x	2.06x	2.16x	2.26x
8,461	(23)%	1.03x	1.12x	1.22x	1.31x	1.41x	1.50x	1.60x	1.69x	1.79x	1.88x	1.98x	2.07x	2.17x
8,122	(28)%	0.99x	1.08x	1.17x	1.26x	1.35x	1.44x	1.53x	1.63x	1.72x	1.81x	1.90x	1.99x	2.08x
Rent:	$ 889													

EPRT Quick Service Restaurant Portfolio Analysis

EPRT Quick Service Restaurant Portfolio ('000s)												
					Average		Average		Average			
Obligor	Concept	Lease Type	Latest Financials	# of Units	Avg SF	Avg Rent	Sales	EBITDAR	Coverage	Margin	RTS %
Andy's Frozen Custard Holdings, LLC	Andy's Frozen Custard	Master Lease	6/30/2019 Q2 TTM	3	1,863	$ 136	$ 1,145	$ 300	2.21x	26.2%	11.8%
Arby's Restaurant Group, Inc.	Arby's	Single Site Lease	Varies	14	2,839	86	1,145	245	2.84x	21.4%	7.5%
Big Boy Restaurant Group, LLC	Big Boy	Master Lease	12/31/2018	4	5,410	112	1,384	340	3.04x	24.6%	8.1%
BDTWO, LLC	Black Rock Coffee Bar	Single Site Lease	12/31/2018 FYE	1	540	26	658	99	3.83x	15.1%	3.9%
Bumpers Drive In of America, Inc.	Bumpers	Master Lease	5/31/2019 TTM	6	1,657	50	482	108	2.15x	22.3%	10.4%
Baden Foods, Inc.	Burger King	Single Site Lease	6/30/2019 TTM (Sales Only)	1	3,071	73	1,527	229	3.14x	15.0%	4.8%
CARROLS, LLC	Burger King	Single Site Lease	6/30/2019 Q2 TTM	3	3,529	114	1,847	374	3.28x	20.2%	6.2%
CAVE ENTERPRISES OPERATIONS, LLC	Burger King	Single Site Lease	8/31/2019 TTM (Sales Only)	1	2,453	65	1,022	153	2.36x	15.0%	6.4%
JimCamm Enterprises, LTD	Burger King	Single Site Lease	12/31/2018	1	3,700	120	1,715	349	2.91x	20.4%	7.0%
NEW KING OF VERNON, INC.	Burger King	Single Site Lease	5/31/2019 TTM (Sales Only)	1	2,741	116	2,127	319	2.76x	15.0%	5.4%
ULTIMATE KING, INC.	Burger King	Single Site Lease	3/31/2019 TTM (Sales Only)	1	2,776	81	1,174	200	2.45x	17.0%	6.9%
Captain D's, LLC	Captain D's	Single Site Lease	Varies	74	2,581	69	1,108	260	3.77x	23.4%	6.2%
SPFS, INC.	Captain D's	Master Lease	7/14/2019 P7 TTM	2	2,495	83	1,177	196	2.36x	16.7%	7.1%
Trident Holdings LLC	Captain D's	Master Lease	Varies	5	2,546	97	1,242	260	2.69x	21.0%	7.8%
CJ's of Fairbanks, LLC	Carl's Jr	Master Lease	3/31/2019 Q1 TTM	2	3,315	151	1,322	179	1.19x	13.5%	11.4%
CHECKERS DRIVE-IN RESTAURANTS, INC	Checkers	Ground Lease	8/31/2019 TTM (Sales Only)	1	725	70	923	157	2.25x	17.0%	7.5%
Quarles Restaurant Group LLC	Dairy Queen	Master Lease	6/30/2019 Q2 TTM	2	3,343	144	1,709	336	2.33x	19.7%	8.4%
Semper FI Foods Inc.	Dairy Queen	Master Lease	6/30/2019 Q2 Ann.	1	2,961	91	1,020	160	1.76x	15.7%	8.9%
VASARI, LLC	Dairy Queen	Master Lease	6/30/2019 Q2 TTM	10	2,135	40	591	109	2.74x	18.4%	6.7%
Fazoli's Restaurant Group, Inc.	Fazoli's	Single Site Lease	7/3/2019 Q1 TTM	1	3,065	82	944	208	2.53x	22.0%	8.7%
Impact Hospitality HHH LLC	Huddle House	Master Lease	Varies	7	1,964	62	486	73	1.18x	15.1%	12.8%
ZHAO MIN ZHU	Ichiro	Single Site Lease	12/31/2017 FYE	1	2,389	36	851	73	2.04x	8.6%	4.2%
JACK IN THE BOX, INC.	Jack in the Box	Single Site Lease	6/30/2019 TTM (Sales Only)	2	2,712	77	1,215	255	3.33x	21.0%	6.3%
THE MONROE GROUP, INC.	Jack in the Box	Single Site Lease	6/30/2019 TTM (Sales Only)	1	3,020	90	793	167	1.85x	21.0%	11.3%
Northwest Restaurants, Inc.	KFC	Single Site Lease	6/11/2019 P6 TTM	1	2,945	72	831	100	1.39x	12.0%	8.7%
EYM Chicken of Wisconsin, LLC	KFC / Long John Silver's	Single Site Lease	12/3/2018 P12 TTM	1	3,110	90	1,263	311	3.45x	24.6%	7.1%
ZAK, L.L.C.	KFC / Taco Bell / LJS	Single Site Lease	7/8/2019 P7 TTM	10	2,955	94	1,062	197	2.10x	18.6%	8.9%
GKRM, Inc.	Long John Silver's	Master Lease	9/8/2018 P9 YTD Ann.	1	2,687	32	432	44	1.36x	10.2%	7.5%
HARFLUER, LLC	Maple Street Biscuit Company	Single Site Lease	9/30/2019 Q3 YTD Ann.	1	4,798	57	869	171	3.00x	19.6%	6.5%
CHAU RESTAURANTS, LLC	Pacific Kitchen	Single Site Lease	6/30/2019 Q2 TTM	1	2,040	28	283	17	0.63x	6.2%	9.8%
Penguin Point Restaurant Group, LLC	Penguin Point	Varies	Proforma - Penguin Point	4	2,741	60	628	101	1.68x	16.0%	9.5%
Comes Investments, Inc.	Pizza Hut	Master Lease	12/31/2018	3	3,727	46	588	147	3.23x	25.0%	7.8%
Legacy Pizza LLC	Pizza Hut	Master Lease	7/11/2019 P7 TTM	12	2,374	40	546	131	3.27x	23.9%	7.3%
Jordan Restaurant Group, LLC	Popeyes Louisiana Kitchen	Master Lease	6/30/2019 Q2 YTD Ann.	3	2,626	112	1,622	369	3.31x	22.8%	6.9%
A&B Seafood LLC	Sam's Southern Eatery	Single Site Lease	12/31/2018 FYE	1	2,474	25	429	20	0.80x	4.8%	5.9%
Aston-Seasons Pizza, Inc.	Seasons Pizza	Master Lease	TTM MAY 2019	2	2,762	68	1,586	186	2.73x	11.7%	4.3%
Montrose Drive-In, LLC	Sonic	Single Site Lease	Oct. '18-May '19 Ann.	1	2,286	129	1,432	344	2.68x	24.1%	9.0%
MN Stores L.L.C.	Subway/ McDonalds	Master Lease	7/31/2019 YTD Ann.	3	4,640	173	1,391	215	1.24x	15.4%	12.5%
K-MAC Enterprises, Inc.	Taco Bell/KFC	Single Site Lease	6/11/2019 P6 TTM	1	2,644	84	1,381	231	2.75x	16.7%	6.1%
Clark Lumberg Associates LLC	Tim Horton's	Single Site Lease	6/30/2019 Q2 TTM	1	1,802	125	1,430	295	2.36x	20.6%	8.7%
TIM DONUT U.S. LIMITED, INC.	Tim Horton's	Single Site Lease	4/30/2018 TTM Sales Only	1	2,566	23	595	101	4.38x	17.0%	3.9%
Knickerbocker TSC, LLC	Tropical Smoothie	Single Site Lease	6/22/18 to 12/31/18 ann.	1	2,205	75	1,466	125	1.66x	8.5%	5.1%
Big Red Wen, L.L.C.	Wendy's	Single Site Lease	FYE 2018	1	3,410	128	1,558	234	1.84x	15.0%	8.2%
BRIAN H. KELEMEN & ASSOCIATES, INC	Wendy's	Single Site Lease	6/30/2019 Q2 TTM	1	3,225	101	1,357	60	0.59x	4.4%	7.5%
DOUGLAS CORPORATION OF MICHIGAN	Wendy's	Single Site Lease	6/30/2019 Q2 TTM	1	3,613	53	1,024	90	1.69x	8.7%	5.2%
G.D.G. AND RESTWEND, LLC	Wendy's	Single Site Lease	6/30/2019 Q2 TTM	1	3,395	72	1,545	258	3.59x	16.7%	4.6%
BENOVEL	Yakimono Express	Single Site Lease	3/31/2019 Q1 TTM (Sales Only)	1	3,589	36	277	28	0.78x	10.0%	12.8%
1788 Chicken, LLC	Zaxby's	Single Site Lease	Varies	9	3,379	130	1,981	395	3.03x	19.9%	6.6%
1796 Chicken, LLC	Zaxby's	Single Site Lease	6/30/2019 Q2 TTM	8	3,508	160	2,279	612	3.83x	26.9%	7.0%
Woodvalley Company, Inc.	Zaxby's	Single Site Lease	6/30/2019 Q2 TTM	1	3,912	210	2,884	429	2.05x	14.9%	7.3%
EPRT Portfolio Average				**216**	**2,751**	**81**	**1,126**	**238**	**2.95x**	**21.1%**	**7.2%**
Subject Portfolio				**9**	**3,161**	**$ 99**	**$ 1,153**	**$ 194**	**1.96x**	**16.8%**	**8.6%**

Note: Raising Cane's Restaurants, L.L.C. and BODAN INCORPORATED, WENDCO OF MILFORD, INC., and RENT THREE HIGH, INC. were excluded to due lack of financial data.

The subject portfolio's P9 annualized 2019 average revenue of $1.2 million is 2.4% greater than the average revenue for quick service restaurants in the current EPRT portfolio. However, the subject portfolio's P9 annualized 2019 average EBITDAR of $194 thousand is 18.5% less than the portfolio's average EBITDAR of $238 thousand. The subject portfolio's P9 annualized 2019 operating margin of 16.8% places Papa Gino's in the 48th percentile relative to the QSR operating margins in the EPRT portfolio. A stabilized margin of 18.8% places Papa Gino's in the 57th percentile relative to the QSR operating margins in the EPRT portfolio.

EPRT Casual Dining Portfolio ('000s)									
	# of		Average	Average Population			Average Income		
Region	Units	Sales	VPD	1-Mile	3-Mile	5-Mile	1-Mile	3-Mile	5-Mile
Midwest	50	$ 1,128	19,946	5,917	38,989	85,592	$ 50,500	$ 50,384	$ 51,441
Northeast	11	1,535	17,303	7,602	38,857	99,878	61,227	60,338	60,589
South	150	1,092	21,210	5,544	32,003	67,424	43,256	45,703	47,881
West	5	1,227	20,781	6,279	46,999	113,816	62,706	66,518	66,226
EPRT Average	**216**	**$ 1,126**	**20,709**	**5,752**	**34,317**	**74,356**	**$ 46,298**	**$ 48,014**	**$ 49,777**
Subject Portfolio	**9**	**$ 1,153**	**16,121**	**10,905**	**79,825**	**183,978**	**$ 75,411**	**$ 70,472**	**$ 70,297**

Additionally, the subject portfolio's demographics were compared to EPRT's existing portfolio by U.S. region. As shown above, other than VPD, the subject portfolio's demographics are substantially stronger, having more than double the population counts and 40% more income across all three ranges.

Acquiring the subject portfolio will increase EPRT's exposure to the Northeast, a region in which EPRT currently has limited QSR exposure (11 of 216 properties). Properties located in the Northeast generally trade at lower yields compared to the rest of the U.S. which has previously limited EPRT's ability to acquire assets in this region. The proposed transaction offers a rare opportunity to increase EPRT's exposure to the region.

Corporate Credit:

See below for the New England Authentic Eats, LLC income statement and balance sheet. Note that New England Authentic Eats, LLC (the "Company"), was formed by Wynnchurch Capital to acquire substantially all of the assets from the predecessor company, PGHC, after filing for Chapter 11 bankruptcy. For PGHC's pre-bankruptcy financial statements, please refer to Exhibit D. Also, EPRT was provided the breakout between Papa Gino's and D'Angelo for both 2019 and 2020, which can be found in Exhibits E and F, respectively.

New England Authentic Eats, LLC
Balance Sheet ('000s)

	Co Prepared As of 2.11.2019	Co Prepared As of 9/30/2019
Assets		
Cash	$ 1,111	$ 392
Accounts Receivable	1,982	2,051
Inventories	1,132	1,098
Prepaid expenses and other	2,108	1,408
Total Current Assets	6,332	4,949
PP&E	9,343	20,787
Accumulated Depreciation	-	(3,554)
Net PP&E	9,343	17,233
Tradename and trademarks, net	17,838	15,680
Other assets	258	263
Total Assets	**$ 33,772**	**$ 38,125**
Liabilities and shareholders' equity		
Accounts payable	$ 7,951	$ 5,160
Accrued expenses	5,488	7,131
Deferred income taxes	-	-
Current portion of revolving line of credit	-	-
Current portion of Term A	-	-
Current portion of Second Lien Term Loan	-	-
Current portion of subordinated debt	-	-
Total Current Liabilities	$ 13,439	$ 12,291
SVB Loan	-	10,400
Term A	-	-
Second Lien Term Loan	-	-
Subordinated debt	-	-
Other long-term liabilities	333	4,948
Total Liabilities	**$ 13,772**	**$ 27,639**
Shareholders' equity		
Members' capital	20,000	20,000
Accumulated (deficit)	-	(9,513)
Total shareholders' equity	**20,000**	**10,487**
Total liabilities and shareholders' equity	**$ 33,772**	**$ 38,125**

Total Funded Debt	**$ - $ 10,400**

New England Authentic Eats, LLC
Income Statement ('000s)

	Co Prepared Actual 3Q19 YTD		Co Prepared Projection 4Q19 QTD		Co Prepared Proforma FYE 2019		Co Prepared Proforma FYE 2020	
Y-o-Y %								***3.8%***
Restaurant Sales								
Gross Sales	$110,072	116.6%	$34,971	115.0%	$145,043	116.2%	$147,183	113.6%
Coupon Redemptions	(15,678)	-16.6%	(4,570)	-15.0%	(20,248)	-16.2%	(17,595)	-13.6%
Net Restaurant Sales	94,394	100.0%	30,401	100.0%	124,796	100.0%	129,588	100.0%
Restaurant Expenses								
Food & Paper Costs	(25,201)	-26.7%	(10,381)	-34.1%	(35,582)	-28.5%	(35,323)	-27.3%
Payroll	(38,125)	-40.4%	(11,800)	-38.8%	(49,925)	-40.0%	(50,563)	-39.0%
Utilities	(3,885)	-4.1%	(904)	-3.0%	(4,789)	-3.8%	(4,768)	-3.7%
Operating Expenses	(9,468)	-10.0%	(1,841)	-6.1%	(11,309)	-9.1%	(10,450)	-8.1%
Total Restaurant Expenses	(76,679)	-81.2%	(24,925)	-82.0%	(101,604)	-81.4%	(101,104)	-78.0%
Store-Level EBITDAR	**17,715**	**18.8%**	**5,476**	**18.0%**	**23,191**	**18.6%**	**28,485**	**22.0%**
Corporate Overhead Expenses								
Field Operations	(3,773)	-4.0%	(1,064)	-3.5%	(4,837)	-3.9%	(4,478)	-3.5%
Corporate Expenses	(4,517)	-4.8%	(1,506)	-5.0%	(6,024)	-4.8%	(5,339)	-4.1%
Marketing Expenses	(4,671)	-4.9%	(1,145)	-3.8%	(5,816)	-4.7%	(4,581)	-3.5%
Total Overhead Expenses	(12,961)	-13.7%	(3,715)	-12.2%	(16,676)	-13.4%	(14,398)	-11.1%
Company Owned Operating Income	**4,754**	**5.0%**	**1,761**	**5.8%**	**6,515**	**5.2%**	**14,086**	**10.9%**
Franchising & Licensing								
Retail Pizza Licensing Income	279	0.3%	103	0.3%	382	0.3%	386	0.3%
Franchise Revenue	953	1.0%	507	1.7%	1,460	1.2%	1,482	1.1%
Franchise Costs	(144)	-0.2%	(77)	-0.3%	(221)	-0.2%	(219)	-0.2%
Franchising & Licensing Income	1,088	1.2%	533	1.8%	1,622	1.3%	1,649	1.3%
EBITDAR	**5,842**	**6.2%**	**2,294**	**7.5%**	**8,136**	**6.5%**	**15,735**	**12.1%**
Rent Expense	(9,102)	-9.6%	(2,860)	-9.4%	(11,962)	-9.6%	(11,783)	-9.1%
EBITDA	**(3,260)**	**-3.5%**	**(565)**	**-1.9%**	**(3,825)**	**-3.1%**	**3,952**	**3.0%**
Non-recurring BK Expenses	(21,071)	-19.1%	-	0.0%	(21,071)	-14.5%	-	0.0%
Interest Expense	(1,374)	-1.2%	(171)	-0.5%	(1,545)	-1.1%	(714)	-0.5%
Depreciation & Amort. Expense	(4,606)	-4.2%	(493)	-1.4%	(5,099)	-3.5%	(3,168)	-2.2%
Other Income (Expense)	(1,164)	-1.1%	(1,687)	-4.8%	(2,851)	-2.0%	127	0.1%
Net income	**(31,475)**	**-28.6%**	**(2,917)**	**-8.3%**	**(34,391)**	**-23.7%**	**197**	**0.1%**
EBITDAR coverage	0.56x		0.76x		0.60x		1.26x	
Fixed-charge coverage	0.56x		0.76x		0.60x		1.26x	
Lease-adjusted leverage	N/A		N/A		13.04x		6.65x	
Funded debt/EBITDA	N/A		N/A		N/A		2.63x	
Number of corporate locations	131		131		131		131	
Corporate-Owned AUV	*721*		*232*		*953*		*989*	

Balance Sheet:

Members Capital – As previously stated, Wynnchurch Capital acquired substantially all of the assets of PGHC, the predecessor company, on 2/4/2019 for $20 million as part of the Section 363 Sale. As part of the transaction, Wynnchurch formed a new entity, New England Authentic Eats, LLC, to acquire PHGC's assets.

Total Funded Debt – The Company acquired PHGC's assets free and clear of all liens and encumbrances. Accordingly, the entity had no outstanding debt on the date of its formation on 2/11/2019. The Company has since entered into an interest-only credit facility agreement maturing on 3/7/2020 with Silicon Valley Bank ("SVB"), allowing the Company to borrow up to $12.5 million at the Prime Rate +0.25%. As of 9/30/2019, the Company had drawn $10.4 million of the available $12.5 million, leaving the Company the capacity to borrow an additional $2.1 million.

Wynnchurch has a long standing relationship with SVB, and the two firms recently renegotiated several of their debt agreements across Wynnchurch's portfolio of companies. Wynnchurch has plans to refinance New England Authentic Eat's debt with SVB when it comes due in March 2020, and the two firms have already engaged in discussions to do so. Accordingly, EPRT classified the debt as long-term despite the maturity date occurring within the next year.

Property and Equipment – consists of approximately 50% machinery and equipment, 38% leasehold improvements, and 12% computer hardware/software, construction in progress, furniture and fixtures.

Between 2/11/2019-9/30/2019, the Company's PPE balance increased significantly, jumping from $9.3 million to $17.2 million. Based on EPRT's discussions with Corey Wendland, the Company's CFO, the PP&E balance as of 2/11/2019 was approximately the same as it was on 9/30/2019, however, due to limitations of the Company's accounting system, not all PP&E was reflected on the opening balance sheet post-restructuring. They we're able to correct this by the end of Q1.

Income Statement:

Sales – On November 4, 2018, the Company's predecessor shut down approximately 100 underperforming stores just prior to filing for Chapter 11 bankruptcy. As a result, the Company's 2019 net sales are 36% lower than it was prior to filing for bankruptcy. However, the Company's AUV of $953k is 17% higher than it was pre-bankruptcy due to the Company retaining only the high performing stores.

To protect the Company's brand and maintain gross sales volumes in its remaining stores, the Company launched its first major marketing campaign by advertising promotional discounts. Hence, the % of coupon redemptions and discounts were relatively high during 2019.

Store Level EBITDAR – The Company actual Store Level EBITDAR in 2019 was 18.8%, which is slightly higher than the subject portfolio's margin of 16.8%. However, as shown in the Exhibit E, after splitting out the Company's financials between Papa Gino's and D'Angelo's, Papa Gino's Store-Level EBITDAR was 17.6% in 2019, which is more in line with the subject portfolio. The low margin was due to the Papa Gino's discounts being 20.4% of net sales. As shown in the proforma broken out by concept in Exhibit F, discounts are expected to drop by approximately 400 bps for the Papa Gino's side of the business in 2020, which will provide a boost to margins.

Marketing Expenses – As previously stated, the Company launched its first major marketing campaign by advertising promotional discounts to protect the Company's brand and maintain gross sales volumes in its remaining stores. Going forward, marketing expenditures will be incurred at a more moderate level of 3.5% of net sales.

Franchising Revenue – In addition to the 131 corporate-owned stores, the Company also has 40 franchises. All 40 franchises are D'Angelo's. In 2019 the Company generated $1.3 million in franchise income which is approximately $32k per franchise.

Non-recurring BK Expenses – The predecessor Company incurred a substantial amount of expenses during the reorganization period prior to the formation of the new company on 2/11/2019. Due to a lack of functionality in the Company's accounting systems, they were not able to separate pre and post restructuring expenses subsequent to the formation of the new company.

Interest Expense – Interest expense was inflated during 2019 due the write-off of items such as DFCs related to the predecessor company's restructuring. Going forward, the Company expects to incur half the amount of interest expense, which is in line with the terms of the Company's debt.

2019 Proforma – The 2019 4Q projection was provided to EPRT by the Company's CFO, Corey Wendland. The projection is a combination of actual October 2019 results and projected Nov-Dec 2019 performance. November and December projections are based on September-October 2019 seasonally adjusted run rate.

2020 Proforma – The 2020 proforma figures shown above were provided to EPRT by the Company's CFO, Corey Wendland. To see the 2020 proforma broken out between Papa Gino's and D'Angelo, please refer to Exhibit F.

- *Net Sales* – Papa Gino's sales volumes are expected to fall in 2020 due to decreased marketing efforts. However, this will be offset by increased D'Angelo volumes as well as

system wide price increase of 4.8% for both brands in January 2020. Additionally, Papa Gino's discounts during 2019 were 20.4%. This number will be substantially reduced by 400 bps in 2020 with the roll back of promotional offerings.

- *Cost of Sales* – Gross profit margin is expected to improve in 2020 due to system wide price increases of 4.8% and the reduction of discounting for the Papa Gino's business.
- *Payroll* – Payroll is expected to fall 100 bps in 2020 due to a reduction general managers. The Company operated with 25% more general managers than needed during the beginning of 2019 while going through the restructuring. After reorganizing, the Company began layoff these excess general managers, completing the layoffs in September 2019. Payroll decreases will be partially offset by coming minimum wage increases in the states the Company operates in.
- *Operating Expenses* – Operating expenses are expected to fall by 100 bps in 2020 due to lower Repairs and Maintenance expense which were abnormally high in 2019 due to investments in the Papa Gino's stores as part of the Company's brand protection strategy during the restructuring period.
- *Corporate Expenses* – Corporate expenses are expected to fall by 70 bps in 2020 primarily due to a reduction in CEO salary expense.

Real Estate:

Below is a list of recent regional QSR transactions comparable to the subject set. When compared to overall Northeast QSR market, the subject portfolio is being acquired at a price PSF 42.6% below market and a rent PSF 8.1% below market. Additionally, the units are to be acquired at a rate that is 179 bps higher than the comparable set.

Regional Comparables ('000s)											
Concept	**Address**	**City**	**State**	**Year Built**	**Sale Date**	**Building SF**	**Sale Price**	**Cap Rate**	**Rent**	**Price Per SF**	**Rent Per SF**
Wendy's	510 W Union St	Newark	NY	1997	10/28/2019	3,052	2,109	5.30%	111.8	690.89	36.62
KFC	465 Washington St	Boston	MA	1971	10/16/2019	2,838	2,100	5.47%	114.9	739.96	40.48
Wendy's	688 Southbridge St	Auburn	MA	1993	10/15/2019	2,823	1,660	5.43%	90.1	588.03	31.93
KFC	300 Burnside Ave	East Hartford	CT	2009	10/11/2019	2,455	1,327	5.50%	73.0	540.53	29.73
Arby's	5737 S Transit Rd	Lockport	NY	1975	8/22/2019	2,586	1,415	6.00%	84.9	547.18	32.83
Wendy's	56 Market Dr	Athol	MA	2017	7/18/2019	3,324	1,342	4.84%	65.0	403.73	19.54
Papa Gino's	29 Chelmsford St	Chelmsford	MA	1969	7/25/2019	3,072	825	7.15%	59.0	268.55	19.20
Papa Gino's	190 Main St	Stoneham	MA	1969	10/7/2019	3,300	2,575	5.00%	128.8	780.30	39.02
Pizza Hut	15 Lowes Dr	Tilton	NH	2006	10/17/2018	3,871	1,826	5.75%	105.0	471.71	27.12
Pizza Hut	1048 Riverdale St	West Springfield	MA	1970	7/13/2018	2,380	1,305	5.75%	75.0	548.32	31.53
Pizza Hut	856 Ulster Ave	Kingston	NY	1974	1/31/2018	2,340	675	7.73%	52.2	288.46	22.30
KFC	4665 Lake Rd S	Brockport	NY	2018	6/17/2019	2,500	1,681	5.60%	94.1	672.40	37.65
KFC	100 Northside Dr	Bennington	VT	1860	6/10/2019	3,317	1,900	5.70%	108.3	572.81	32.65
KFC	363 Swanton Rd	Saint Albans	VT	NP	6/10/2019	2,666	1,700	5.70%	96.9	637.66	36.35
KFC	153 S Main St	Rutland	VT	NP	6/10/2019	2,556	1,333	5.70%	76.0	521.52	29.73
KFC	3890 State Route 281	Cortland	NY	2009	5/30/2019	3,333	2,450	6.00%	147.0	735.07	44.10
KFC	470 E Delavan Ave	Buffalo	NY	1969	5/23/2019	2,451	1,100	5.96%	65.6	448.80	26.75
Burger King	460 W Grove St	Middleboro	MA	1986	5/9/2019	3,522	1,628	6.57%	107.0	462.24	30.37
Pizza Hut	1151 Broadway St	Elmira	NY	1977	5/1/2019	2,960	1,065	7.25%	77.2	359.80	26.09
Burger King	11 Delaware St	Tonawanda	NY	1986	4/5/2019	4,280	1,400	7.00%	98.0	327.10	22.90
Burger King	1140 Niagara Falls Blvd	Tonawanda	NY	2002	3/3/2019	3,174	1,858	6.50%	120.8	585.40	38.05
Burger King	164 S Main St	New City	NY	1980	2/6/2019	3,870	1,702	5.29%	90.0	439.79	23.27
Taco Bell	355 Foxon Blvd	New Haven	CT	1998	1/11/2019	2,046	2,133	5.70%	121.6	1,042.42	59.42
Wendy's	104 Town Square Dr	Amsterdam	NY	NP	12/11/2018	3,047	1,855	5.00%	92.8	608.89	30.44
Taco Bell	86 Ella Grasso Tpke	Windsor Locks	CT	1985	12/3/2018	3,146	1,238	5.60%	69.3	393.52	22.04
KFC	1312 Beach Channel Dr	Far Rockaway	NY	1971	11/29/2018	1,400	1,200	4.30%	51.6	857.14	36.86
Wendy's	4158 Lakeville Rd	Geneseo	NY	1999	10/15/2018	2,816	1,992	5.00%	99.6	707.22	35.36
Wendy's	483 Hamilton St	Geneva	NY	1993	10/5/2018	2,899	2,123	5.00%	106.2	732.49	36.62
Burger King	1331 Us Route 302	Barre	VT	NP	10/1/2018	3,235	2,692	5.50%	148.1	832.15	45.77
Long John Silver's	321 Loudon Rd	Concord	NH	2004	9/18/2018	2,808	1,452	6.25%	90.8	517.09	32.32
Tim Horton's	6227 Thompson Rd	Syracuse	NY	2008	8/9/2018	2,219	1,725	6.50%	112.1	777.38	50.53
Popeye's	70 Ella Grasso Tpke	Windsor Locks	CT	2018	7/27/2018	3,000	1,750	5.71%	99.9	583.33	33.31
Wendy's	3050 Winton Rd S	Henrietta	NY	1993	7/12/2018	3,424	1,924	5.00%	96.2	562.02	28.10
Wendy's	21 N Main St	Rutland	VT	NP	6/4/2018	2,229	2,062	6.15%	126.8	924.90	56.88
Burger King	601 Busti Ave	Buffalo	NY	1981	3/16/2018	3,014	1,200	6.60%	79.2	398.14	26.28
Wendy's	2123 Broadhollow Rd	Farmingdale	NY	1999	11/21/2017	2,864	4,350	4.40%	191.4	1,518.85	66.83
Burger King	80 W Campbell Rd	Schenectady	NY	2000	NP	3,375	2,472	5.25%	129.8	732.56	38.46
Average		***37***				***2,924***	***$ 1,761***	***5.61%***	***$ 99***	***$ 602.12***	***$ 33.79***
Subject Portfolio - Averages		***9***		***1981***		***3,161***	***$ 1,335***	***7.40%***	***$ 99***	***$ 422.35***	***$ 31.25***

Industry Exposure:

Post-transaction, exposure to Papa Gino's will become 0.6% of the EPRT portfolio. Additionally, exposure to Quick Service Restaurants will increase from 12.6% to 13.2% of the overall portfolio.

Essential Properties Realty Trust ('000s)		
	Expected as of 12/31/2019	%
Annual Revenue	$ 155,000	
Existing Papa Gino's Exposure	-	0.0%
Proposed Papa Gino's Exposure	889	0.6%
Proforma Papa Gino's Exposure	**$ 889**	**0.6%**
Restaurants - Quick Service Exposure	19,576	12.6%
Proforma Restaurants - Quick Service Exposure	**$ 20,466**	**13.2%**

Exhibit A: Photographs, Aerials and Competitive Landscape

Demographics														Metrics ('000s)		
							1 - Mile	3 - Mile	5 - Mile	1 - Mile	3 - Mile	5 - Mile			Price	Rent
Address	City	State	Total SF	AC	Built	VPD	Population			Household Income				Investment	PSF	PSF
35 Commercial Road	Leominster	MA	3,341	1	1980	10,505	8,055	48,176	86,421	$ 46,095	$ 58,663	$ 57,449		$ 1,411	$422.35	$31.25

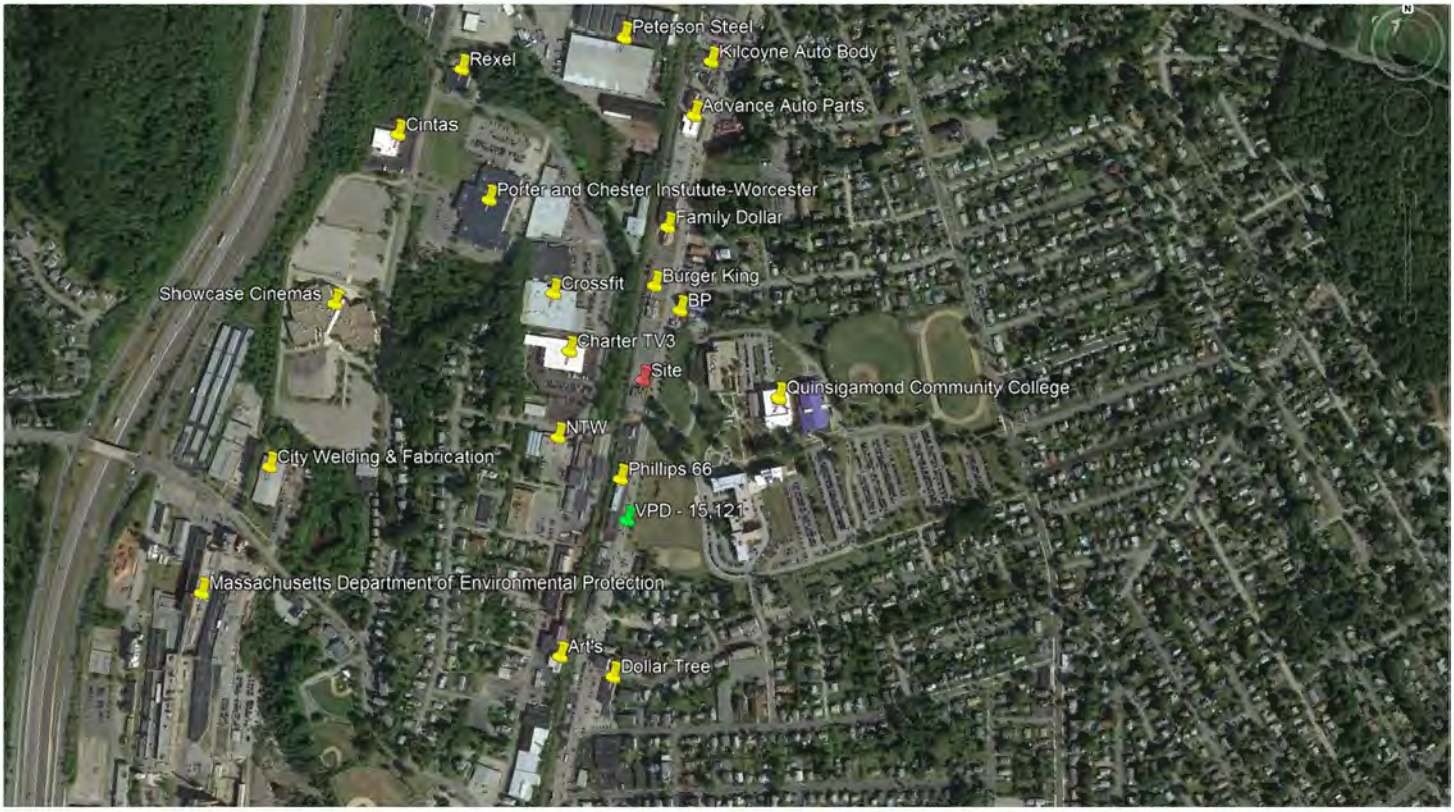
Demographics													Metrics ('000s)		
							1 - Mile	3 - Mile	5 - Mile	1 - Mile	3 - Mile	5 - Mile		Price	Rent
Address	City	State	Total SF	AC	Built	VPD	Population			Household Income			Investment	PSF	PSF
104 Boston Post Road	Sudbury	MA	2,899	0.92	1983	15,933	1,983	29,093	85,836	$ 158,010	$ 141,134	$ 131,375	$ 1,224	$422.35	$31.25

PIZZA
SPECIALTY PIZZA
LUNCH SPECIALS
SALADS
KIDS MEALS
SLICES & DRINKS
EXPAND YOUR ROSTER
PATS WIN YOU WIN!

Wayland Water Department
Longfellow Tennis Health Club Wayland
BMW Sudbury
Lamborghini Boston
Conrad's
Site
Town Line Hardware
Wayland Town Dump
Jaguar Sudbury
Maserati Boston
VPD - 15,933
Richey & Clapper Inc
Congregation
Bosse Sports
Sudbury Automotive

Demographics														Metrics ('000s)		
							1 - Mile	3 - Mile	5 - Mile	1 - Mile	3 - Mile	5 - Mile			Price	Rent
Address	City	State	Total SF	AC	Built	VPD	Population			Household Income				Investment	PSF	PSF
915 Grafton Street	Worcester	MA	2,653	0.46	1965/1997	19,826	13,103	107,066	228,518	$ 67,198	$ 48,102	$ 55,323		$ 1,121	$422.35	$31.25

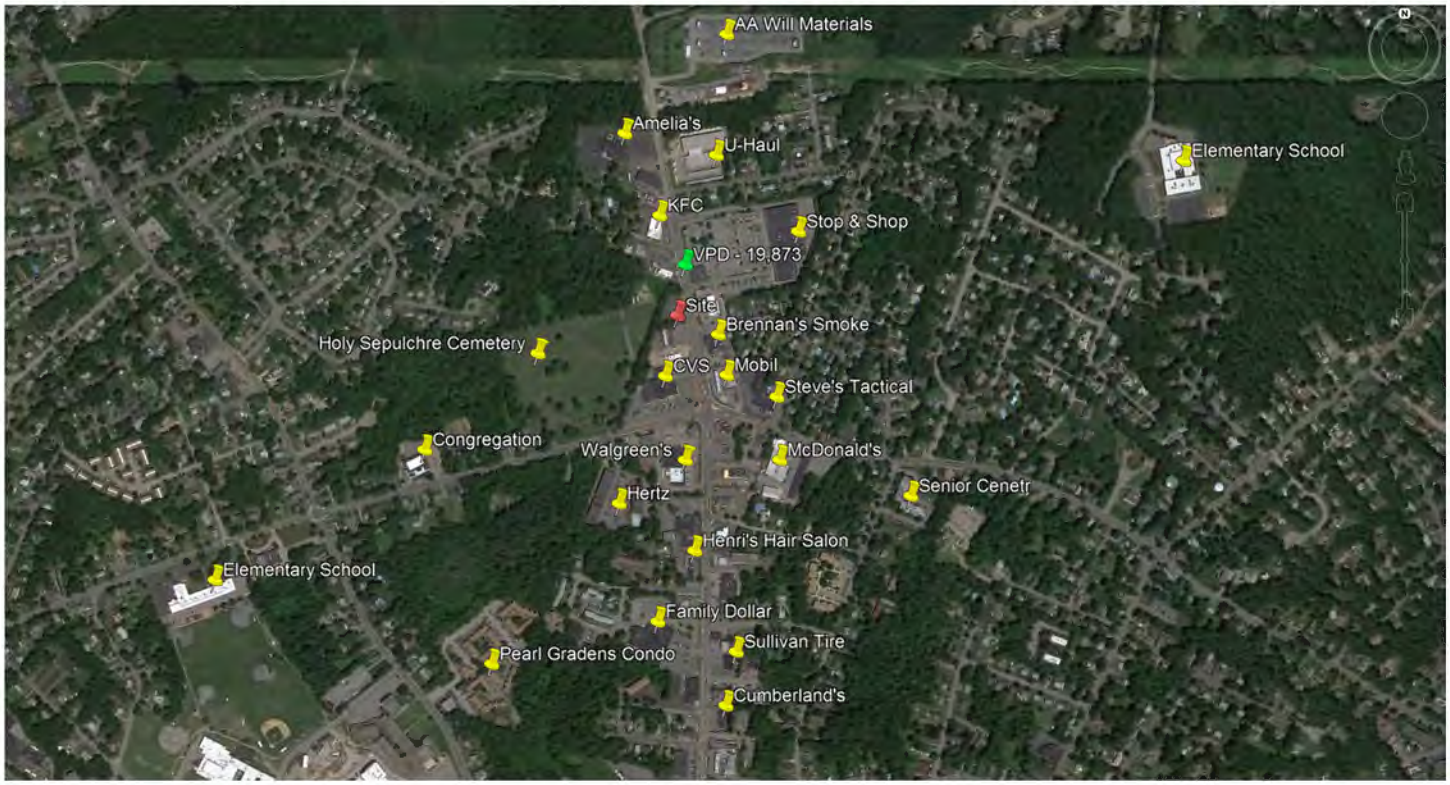
Demographics													Metrics ('000s)		
							1 - Mile	3 - Mile	5 - Mile	1 - Mile	3 - Mile	5 - Mile		Price	Rent
Address	City	State	Total SF	AC	Built	VPD	Population			Household Income			Investment	PSF	PSF
681 W. Boylston	Worcester	MA	2,993	0.48	1965	15,121	10,253	72,243	196,063	$ 65,671	$ 64,456	$ 57,198	$ 1,264	$422.35	$31.25



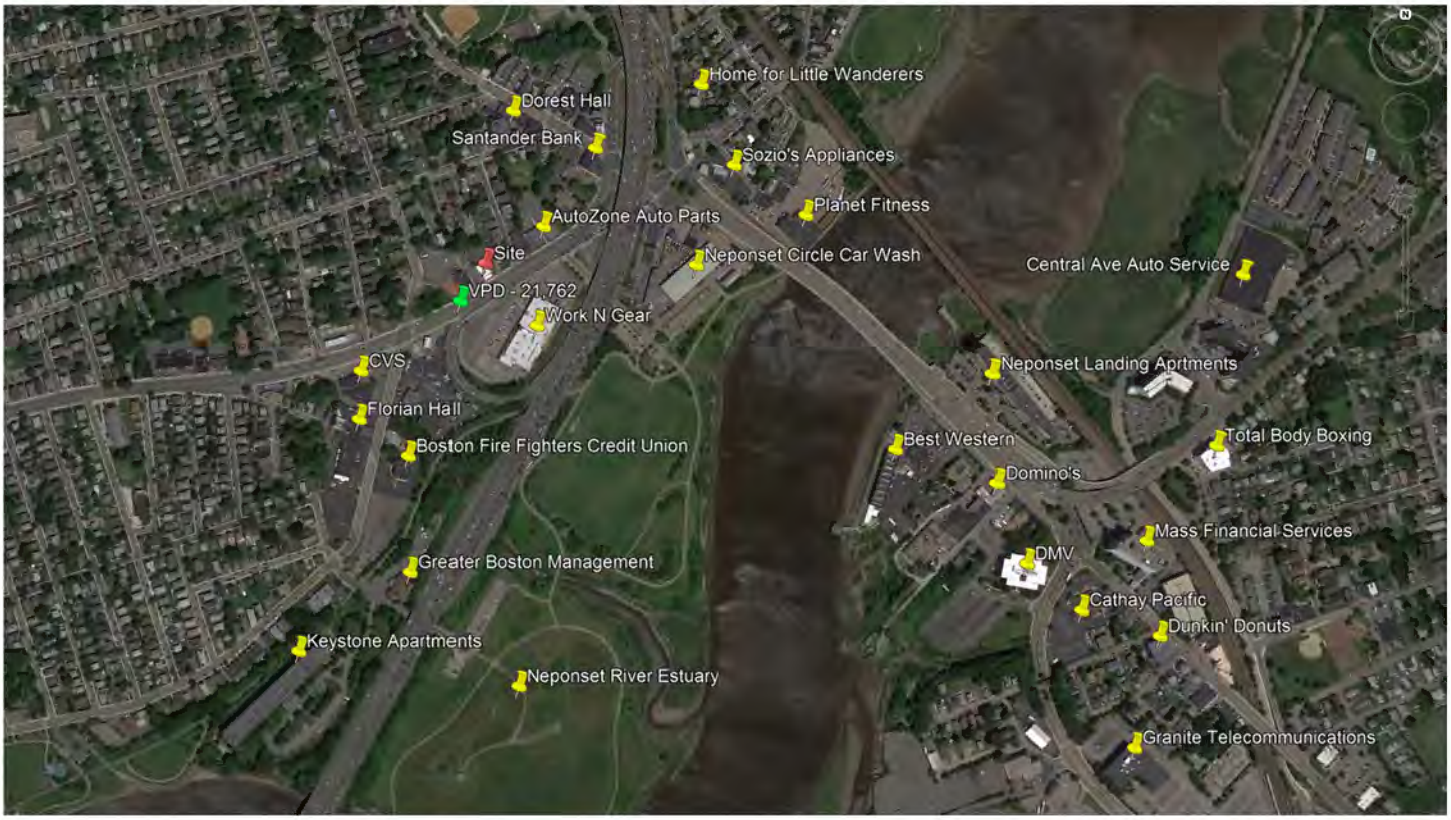
Demographics													Metrics ('000s)		
							1 - Mile	3 - Mile	5 - Mile	1 - Mile	3 - Mile	5 - Mile		Price	Rent
Address	City	State	Total SF	AC	Built	VPD	Population			Household Income			Investment	PSF	PSF
307 Elsbree Street	Fall River	MA	3,316	1.25	1984	8,416	14,975	81,666	121,955	$ 65,027	$ 40,341	$ 46,098	$ 1,401	$422.35	$31.25

Demographics														Metrics ('000s)		
							1 - Mile	3 - Mile	5 - Mile	1 - Mile	3 - Mile	5 - Mile			Price	Rent
Address	City	State	Total SF	AC	Built	VPD	Population			Household Income				Investment	PSF	PSF
340 Mariano Bishop Blvd.	Fall River	MA	3,368	1.06	1987	20,227	14,126	79,234	126,838	$ 41,272	$ 39,594	$ 47,340		$ 1,422	$422.35	$31.25

Demographics														Metrics ('000s)		
							1 - Mile	3 - Mile	5 - Mile	1 - Mile	3 - Mile	5 - Mile			Price	Rent
Address	City	State	Total SF	AC	Built	VPD	Population			Household Income				Investment	PSF	PSF
319 Washington Street	Stoughton	MA	3,216	0.71	1983	19,873	8,584	52,617	147,099	$ 68,943	$ 85,086	$ 78,931		$ 1,358	$422.35	$31.25



Demographics														Metrics ('000s)		
							1 - Mile	3 - Mile	5 - Mile	1 - Mile	3 - Mile	5 - Mile			Price	Rent
Address	City	State	Total SF	AC	Built	VPD	Population			Household Income				Investment	PSF	PSF
748 Gallivan Blvd.	Dorchester	MA	3,272	0.58	1984	21,762	22,100	214,575	577,420	$ 74,740	$ 60,993	$ 65,274		$ 1,382	$422.35	$31.25



Demographics													Metrics ('000s)		
							1 - Mile	3 - Mile	5 - Mile	1 - Mile	3 - Mile	5 - Mile		Price	Rent
Address	City	State	Total SF	AC	Built	VPD	Population			Household Income			Investment	PSF	PSF
15 Taunton Street	Plainville	MA	3,390	1.45	1984	13,427	4,966	33,759	85,654	$ 91,745	$ 95,879	$ 93,682	$ 1,432	$422.35	$31.25

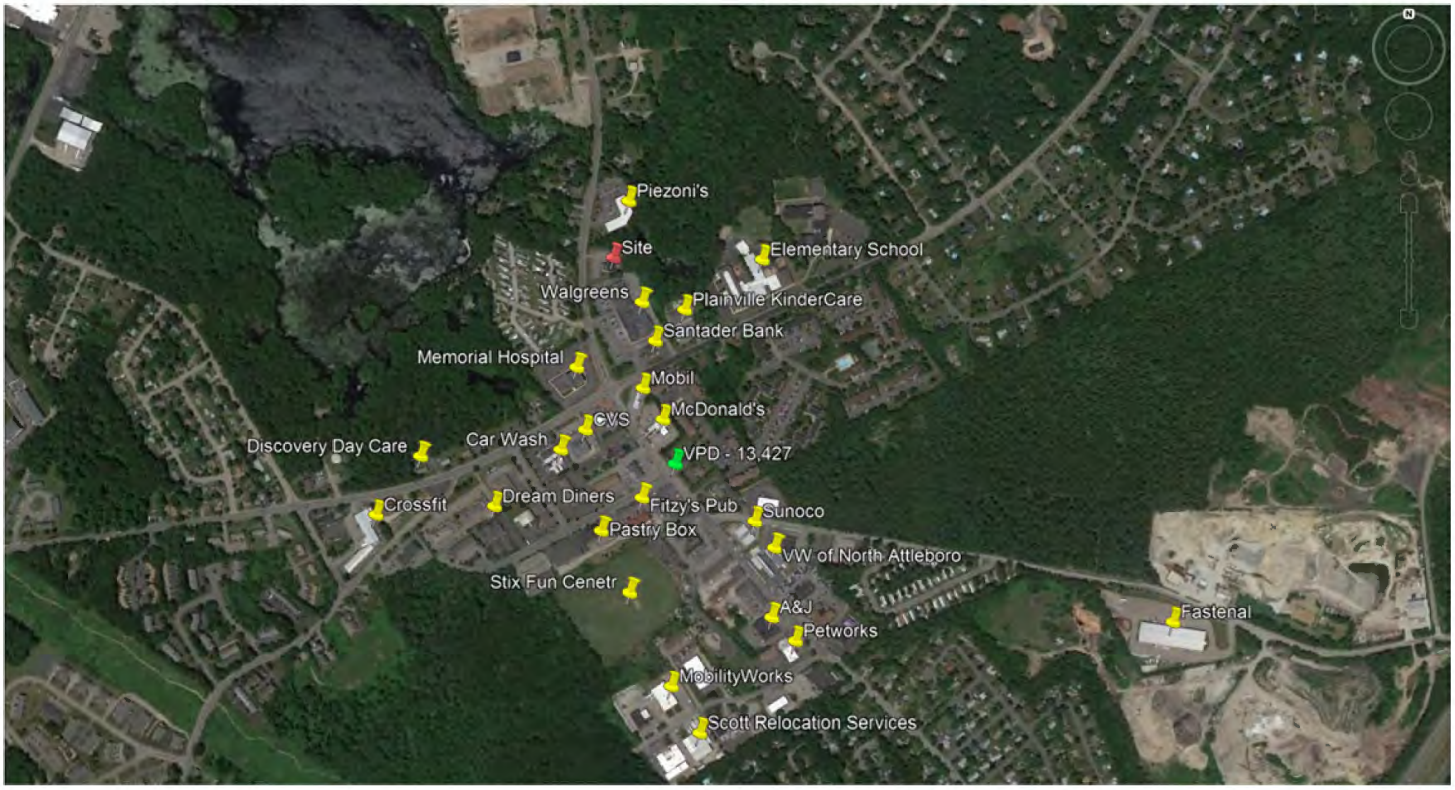


Exhibit B: Papa Gino's Portfolio Addresses

335 Commercial Road, Leominster, MA
915 Grafton Street, Worcester, MA
681 W. Boylston, Worcester, MA
307 Elsbree Street, Fall River, MA
340 Mariano Bishop Boulevard, Fall River, MA
104 Boston Post Road, Sudbury, MA
319 Washington Street, Stoughton, MA
748 Gallivan Boulevard, Dorchester, MA
15 Taunton Street, Plainville, MA

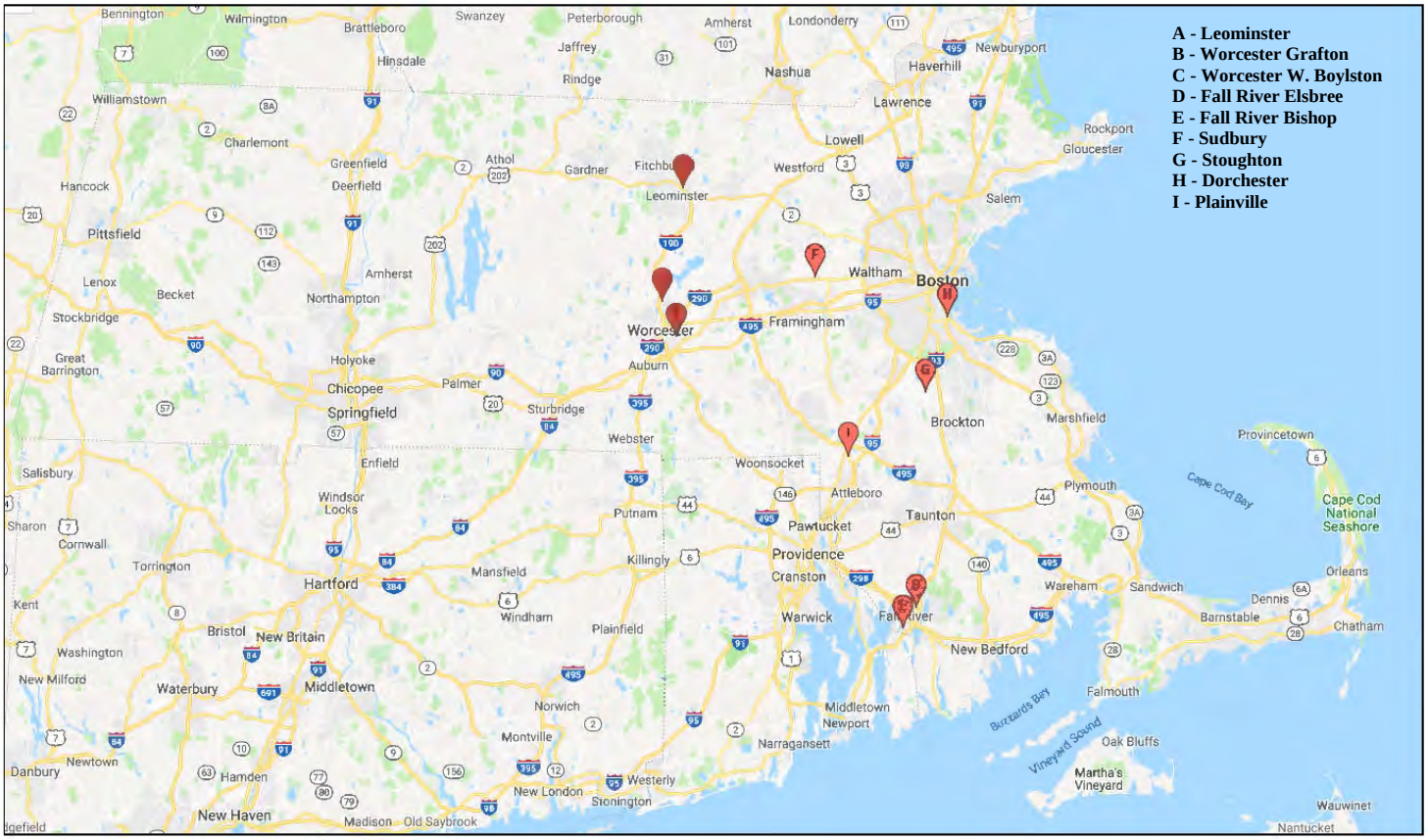


Exhibit C: Post-Bankruptcy Portfolio Analysis – Unit Breakout

Worcester Grafton – From 2018-2019, sales increased 3.5% but EBITDAR decreased 12.5%. The decline in operating cash flow is attributable to the "Big 3 expenses" (Food, Paper, Payroll) increasing from 61.2% of sales to 63.3% of sales. Specifically, team wages increased from 20.7% of sales to 23.5% of sales due to higher part-time team member wages and higher delivery driver wages.

Worcester Boylston – From 2018-2019, sales increased 7.1% and EBITDAR increased 17.9%. The increase in sales is primarily attributable to a 50.3% increase in promotional discounts. In addition, the increase in operating cash flow is attributable to Food, Paper and Payroll expenses as a percentage of sales decreasing from 63.4% in 2018 to 62.3% in 2019. Specifically, payroll expense decreased from 34.8% of sales to 33.3% of sales. In addition, the site decreased its advertising for special events.

Fall River Elsbree – From 2018-2019, sales decreased 3.3% and EBITDAR decreased 22.4%. The decline in operating cash flow is attributable to Food, Paper and Payroll expenses as a percentage of sales increasing from 61.0% in 2018 to 63.0% in 2019. In addition, repairs expense as a percentage of sales increased from 1.0% in 2018 to 1.9% in 2019 due to refrigeration, plumbing, and septic repairs.

Fall River Bishop – From 2018-2019, sales decreased 3.3% and EBITDAR decreased 22.4%. The decline in operating cash flow is attributable to Food, Paper and Payroll expenses as a percentage of sales increasing from 63.0% in 2018 to 64.3% in 2019. Specifically, payroll expense increased from 34.4% to 35.7% of revenue. Repairs expense as a percentage of sales increased from 1.5% in 2018 to 2.5% in 2019 due to building, oven, electrical and equipment repairs. Moreover, maintenance expense as a percentage of sales increased from 0.4% in 2018 to 1.4% in 2019 due to increased landscaping and alarm system costs.

Stoughton – From 2018-2019, sales increased 20.0% and EBITDAR increased 37.3%. The increase in sales is mainly attributable to a 69.4% increase in promotional discounts. Moreover, the increase in operating cash flow is attributable to Food Paper and Payroll expenses as a percentage of sales decreasing from 62.8% in 2018 to 61.4% in 2019. Specifically, payroll expense decreased from 34.6% to 33.3% of revenue. In addition, operating expenses decreased from 5.4% to 4.8% of revenue, primarily due to decreased local restaurant advertising spending.

Dorchester – From 2018-2019, sales have increased 2.4% but EBITDAR decreased 9.0%. The decline in operating cash flow is attributable to Food, Paper and Payroll expenses as a percentage of sales increasing from 61.1% in 2018 to 62.0% in 2019. In addition, operating expenses as a percentage of sales increased from 5.5% in 2018 to 6.1% in 2019 due to credit card chargebacks as well as increased spending on cleaning supplies and rubbish removal.

Plainville – From 2018-2019, sales decreased 3.3% and EBITDAR decreased 22.4%. The decline in operating cash flow is attributable to Food, Paper and Payroll expenses as a percentage of sales increasing from 61.2% in 2018 to 62.1% in 2019. Specifically, payroll expense increased from 33.2% to 35.0% of revenue. Repairs expense as a percentage of sales increased from 1.3% in 2018 to 2.0% in 2019 due to electrical, equipment, plumbing and septic repairs. The site also incurred increased landscaping costs in 2019.

Leominster & Sudbury – From 2018-2019, sales at the Leominster and Sudbury locations have increased by 3.5% and 10.9%, respectively, and EBITDAR has increased by 7.5% and 6.7%, respectively.

Exhibit D: PGHC Holdings, Inc. Financial Statements

PGHC Holdings, Inc.
Balance Sheet ('000s)

	Co Prepared As of 2/28/2017	Co Prepared As of 2/28/2018
Assets		
Cash	$ 1,946	$ 1,908
Accounts Receivable	2,871	2,029
Inventories	1,792	1,785
Prepaid expenses and other	2,067	1,524
Total Current Assets	8,675	7,245
PP&E	105,626	105,066
Accumulated Depreciation	(76,190)	(78,857)
Net PP&E	29,437	26,208
Tradename and trademarks, net	26,115	25,185
Other assets	498	394
Total Assets	**$ 64,725**	**$ 59,032**
Liabilities and shareholders' equity		
Accounts payable	$ 10,479	$ 8,994
Accrued expenses	10,764	10,384
Deferred income taxes	347	347
Current portion of revolving line of credit	3,942	5,860
Current portion of Term A	10,000	10,000
Current portion of Second Lien Term Loan	-	31,806
Current portion of subordinated debt	-	39,854
Total Current Liabilities	$ 35,532	$ 107,245
SVB Loan	-	-
Term A	-	-
Second Lien Term Loan	28,492	-
Subordinated debt	39,854	-
Other long-term liabilities	7,413	6,758
Total Liabilities	**$ 111,291**	**$ 114,004**
Shareholders' equity		
Members' capital	39,478	39,478
Accumulated (deficit)	(86,045)	(94,449)
Total shareholders' equity	**(46,567)**	**(54,971)**
Total liabilities and shareholders' equity	**$ 64,725**	**$ 59,032**

Total Funded Debt	**82,288**	**87,520**

PGHC Holdings, Inc.
Income Statement ('000s)

	Co Prepared FYE 2/28/2017		Co Prepared FYE 2/28/2018	
Net Sales Y-o-Y %	***N/A***		***-3.6%***	
Restaurant Sales				
Gross Sales	$ 218,562	107.8%	$ 219,616	112.4%
Coupon Redemptions	(15,762)	-7.8%	(24,204)	-12.4%
Net Restaurant Sales	**202,800**	**100.0%**	**195,412**	**100.0%**
Restaurant Expenses				
Food & Paper Costs	(55,014)	-27.1%	(54,238)	-27.8%
Payroll	(77,009)	-38.0%	(75,763)	-38.8%
Utilities	(8,739)	-4.3%	(8,369)	-4.3%
Operating Expenses	(16,994)	-8.4%	(15,644)	-8.0%
Total Restaurant Expenses	(157,756)	-77.8%	(154,014)	-78.8%
Store-Level EBITDAR	**45,044**	**22.2%**	**41,398**	**21.2%**
Corporate Overhead Expenses				
Preopening Costs	-	0.0%	(15)	0.0%
Field Operations	(7,275)	-3.6%	(6,275)	-3.2%
Corporate Expenses	(7,205)	-3.6%	(6,909)	-3.5%
Marketing Expenses	(5,472)	-2.7%	(3,996)	-2.0%
Total Overhead Expenses	(19,952)	-9.8%	(17,195)	-8.8%
Company Owned Operating Income	**25,092**	**12.4%**	**24,203**	**12.4%**
Franchising & Licensing				
Retail Pizza Licensing Income	-	0.0%	62	0.0%
Franchise Revenue	1,320	0.7%	1,266	0.6%
Franchise Costs	(232)	-0.1%	(224)	-0.1%
Franchising & Licensing Income	1,088	0.5%	1,104	0.6%
EBITDAR	**26,180**	**12.9%**	**25,307**	**13.0%**
Rent Expense	(21,333)	-10.5%	(20,888)	-10.7%
EBITDA	**4,847**	**2.4%**	**4,419**	**2.3%**
Restructuring Costs	-	0.0%	-	0.0%
Interest Expense	(4,143)	-1.9%	(4,640)	-2.1%
Depreciation & Amort. Expense	(9,538)	-4.4%	(7,763)	-3.5%
Other Income (Expense)	(21,646)	-9.9%	79	0.0%
Management Fee	(375)	-0.2%	(500)	-0.2%
Net income	**(30,855)**	**-14.1%**	**(8,405)**	**-3.8%**
EBITDAR coverage	1.03x		0.99x	
Fixed-charge coverage	0.66x		0.22x	
Lease-adjusted leverage	9.66x		10.06x	
Funded debt/EBITDA	16.98x		19.81x	
Number of corporate-owned locations	248		241	
Number of franchised locations	44		41	
Total locations	292		282	
Corporate-Owned AUV	*818*		*811*	
AUV Growth	*N/A*		*-0.8%*	

Exhibit E: YTD 3Q19 Papa Gino's & D'Angelo Income Statement Breakout

New England Authentic Eats, LLC Income Statement ('000s)	Papa Gino's Actuals 9/30/2019		D'Angelo Actuals 9/30/2019		Corporate Actuals 9/30/2019	Consolidated Actuals 9/30/2019	
Restaurant Sales							
Gross Sales	$ 83,061	120.4%	$ 27,011	106.2%	$ -	$ 110,072	116.6%
Coupon Redemptions	(14,096)	-20.4%	(1,581)	-6.2%	-	(15,678)	-16.6%
Net Restaurant Sales	68,965	100.0%	25,430	100.0%	-	94,394	100.0%
Restaurant Expenses							
Food & Paper Costs	(17,491)	-25.4%	(7,710)	-30.3%	-	(25,201)	-26.7%
Payroll	(29,321)	-42.5%	(8,804)	-34.6%	-	(38,125)	-40.4%
Utilities	(3,018)	-4.4%	(867)	-3.4%	-	(3,885)	-4.1%
Operating Expenses	(7,031)	-10.2%	(2,437)	-9.6%	-	(9,468)	-10.0%
Total Restaurant Expenses	(56,861)	-82.4%	(19,818)	-77.9%	-	(76,679)	-81.2%
Store-Level EBITDAR	**12,104**	**17.6%**	**5,612**	**22.1%**	**-**	**17,715**	**18.8%**
Corporate Overhead Expenses							
Field Operations	(2,329)	-3.4%	(1,444)	-5.7%	-	(3,773)	-4.0%
Corporate Expenses	-	0.0%	-	0.0%	(4,517)	(4,517)	-4.8%
Marketing Expenses	(3,640)	-5.3%	(911)	-3.6%	(120)	(4,671)	-4.9%
Total Overhead Expenses	(5,969)	-8.7%	(2,355)	-9.3%	(4,637)	(12,961)	-13.7%
Company Owned Operating Income	**6,135**	**8.9%**	**3,257**	**12.8%**	**(4,637)**	**4,754**	**5.0%**
Franchising & Licensing							
Retail Pizza Licensing Income	279	0.4%	-	0.0%	-	279	0.3%
Franchise Revenue	-	0.0%	953	3.7%	-	953	1.0%
Franchise Costs	-	0.0%	(366)	-1.4%	-	(366)	-0.4%
Franchising & Licensing Income	279	0.4%	587	2.3%	-	866	0.9%
EBITDAR	**6,414**	**9.3%**	**3,844**	**15.1%**	**(4,637)**	**5,620**	**6.0%**
Rent Expense	(6,672)	-9.7%	(2,430)	-9.6%	-	(9,102)	-9.6%
EBITDA	**(258)**	**-0.4%**	**1,414**	**5.6%**	**(4,637)**	**(3,482)**	**-3.7%**
BK non-recurring	-	0.0%	-	0.0%	(21,071)	(21,071)	-19.1%
Interest Expense	-	0.0%	-	0.0%	(1,374)	(1,374)	-1.2%
Depreciation & Amort. Expense	(3,773)	-4.5%	(833)	-3.1%	-	(4,606)	-4.2%
Other Income (Expense)	(109)	-0.1%	(4)	0.0%	(1,051)	(1,164)	-1.1%
Net income	**(4,140)**	**-5.0%**	**577**	**2.1%**	**(28,133)**	**(31,697)**	**-28.8%**
Number of corporate-owned locations	89		42		0	131	
Corporate-Owned AUV	*775*		*605*		*N/A*	*721*	

Exhibit F: FYE 2020 Papa Gino's & D'Angelo Income Statement Breakout

New England Authentic Eats, LLC Income Statement ('000s)								
	Papa Gino's Proforma 12/31/2020		**D'Angelo Proforma 12/31/2020**		**Corporate Proforma 12/31/2020**		**Consolidated Proforma 12/31/2020**	
Restaurant Sales								
Gross Sales	$ 110,605	116.3%	$ 36,578	106.0%	$ -		$ 147,183	113.6%
Coupon Redemptions	(15,517)	-16.3%	(2,078)	-6.0%	-		(17,595)	-13.6%
Net Restaurant Sales	95,088	100.0%	34,501	100.0%	-		129,588	100.0%
Restaurant Expenses								
Food & Paper Costs	(24,855)	-26.1%	(10,468)	-30.3%	-		(35,323)	-27.3%
Payroll	(39,069)	-41.1%	(11,494)	-33.3%	-		(50,563)	-39.0%
Utilities	(3,706)	-3.9%	(1,062)	-3.1%	-		(4,768)	-3.7%
Operating Expenses	(7,657)	-8.1%	(2,792)	-8.1%	-		(10,450)	-8.1%
Total Restaurant Expenses	(75,288)	-79.2%	(25,816)	-74.8%	-		(101,104)	-78.0%
Store-Level EBITDAR	**19,800**	**20.8%**	**8,685**	**25.2%**	**-**		**28,485**	**22.0%**
Corporate Overhead Expenses								
Field Operations	(2,730)	-2.9%	(1,748)	-5.1%	-		(4,478)	-3.5%
Corporate Expenses	-	0.0%	-	0.0%	(5,339)		(5,339)	-4.1%
Marketing Expenses	(3,546)	-3.7%	(1,035)	-3.0%	-		(4,581)	-3.5%
Total Overhead Expenses	(6,276)	-6.6%	(2,783)	-8.1%	(5,339)		(14,398)	-11.1%
Company Owned Operating Income	**13,524**	**14.2%**	**5,902**	**17.1%**	**(5,339)**		**14,086**	**10.9%**
Franchising & Licensing								
Retail Pizza Licensing Income	386	0.4%	-	0.0%	-		386	0.3%
Franchise Revenue	-	0.0%	1,482	4.3%	-		1,482	1.1%
Franchise Costs	-	0.0%	(219)	-0.6%	-		(219)	-0.2%
Franchising & Licensing Income	386	0.4%	1,263	3.7%	-		1,649	1.3%
EBITDAR	**13,910**	**14.6%**	**7,165**	**20.8%**	**(5,339)**		**15,735**	**12.1%**
Rent Expense	(8,602)	-9.0%	(3,181)	-9.2%	-		(11,783)	-9.1%
EBITDA	**5,307**	**5.6%**	**3,984**	**11.5%**	**(5,339)**		**3,952**	**3.0%**
Non-recurring BK Expenses	-	0.0%	-	0.0%	-		-	0.0%
Interest Expense	-	0.0%	-	0.0%	(714)		(714)	-0.5%
Depreciation & Amort. Expense	-	0.0%	-	0.0%	(3,168)		(3,168)	-2.2%
Other Income (Expense)	460	0.4%	169	0.5%	(501)		127	0.1%
Net income	**5,767**	**5.2%**	**4,152**	**11.4%**	**(9,722)**		**197**	**0.1%**
Number of corporate-owned locations	89		42				131	
Corporate-Owned AUV	*1,068*		*821*				*989*	